Investing in the East Indies 1725-1750: The British East India Company or the Vereenigde Oostindische Compagnie?

Abstract

Between the January 1725 subscription and any sale in 1745-1750, the British East India Company (EIC) outperforms the Dutch Vereenigde Oostindische Compagnie (VOC) on price, dividend sustainability and total return. The EIC, trading at about £140-£160 per £100 nominal in early 1725, rises to about £180-£200 by 1750, having reached £200 by 1740. The VOC, peaking at about 642 in the 1720-1721 bubble aftermath, trades at 500-600 in January 1725 and falls toward the 400s by 1750. Its headline 18 per cent dividend on nominal capital is 5-7 per cent on market price and after 1730 is funded from capital and borrowing, not surplus. The rational profit-maximising advice is therefore to buy the EIC, hold through the 1730s despite war shocks, and sell in 1750 after peace is restored and before Seven Years' War risk. If judged ethically, the recommendation collapses: both monopolies depended on chartered violence, slavery and coercive procurement, and the Dutch case in this window is the more violent, but no purchase in 1725 can be called ethical profit.

Two monopolies at different stages

The VOC (1602) and EIC (1600) were both chartered monopolies with quasi-governmental powers to make war, coin money and govern factories, but their 1725 conditions differ radically. The VOC, created by Amsterdam merchants and the States General, monopolised fine spices. Its Amsterdam shares traded at a liquidity premium over the other five chambers. Lodewijk Petram's 851 price observations show an Amsterdam mean of about 450 in the second half of the seventeenth century after a pre-1633 ceiling of 200. By the 1680s the price hovered around 400 with war fluctuations, reaching an all-time high near 642 in the 1720s bubble that simultaneously inflated John Law's Mississippi company in Paris and the South Sea company in London. By January 1725 the VOC is therefore bought after the peak, still at 500-600 ex-dividend. The EIC, by contrast, has pivoted away from the spice islands after Amboyna (1623) toward Indian textiles, above all Bengal. Its shares, near £150 in 1693, recover from the South Sea crash of 1720, when South Sea stock rose from £128 in January to over £1,000 in August and fell to £124 by December. In January 1725 the EIC is bought low, at perhaps £140-£160 for £100 nominal, with a dividend cut in 1723 already signalling lower London interest rates but not distress.

Structure explains trajectory. The VOC's intra-Asian trade, once dominant in nutmeg, mace and cloves at 14-17 times purchase price, erodes after 1685 as Japan limits silver exports, Formosa is lost, and the pepper price war forces costly buy-outs. After 1700 Batavia centralisation, venality, low salaries that encourage private trade, high mortality, and squeezing from Persia, Suratte, Malabar and Bengal confine the VOC to a Ceylon-Indonesia belt. Its Canton factory opens only in 1729, too late against direct Canton-to-Europe tea shipping. The trade figures make the divergence visible: EIC textile exports run at 796,293 pieces in 1720-24 and 821,312 in 1725-29, while the VOC falls from 475,752 to 399,477, with only 241,070 in 1730-34. Bengal alone supplies 559,000-619,000 EIC pieces per quinquennium. The EIC benefits from Aurangzeb's death in 1707 and the 1717 Bengal customs waiver, while the VOC is weakened by sugar decline from Brazil, the Batavia massacre of 1740 and defeat at Colachel in 1741.

Prices and dividends 1725-1750

Twentieth-century reconstructions from price lists and the Course of the Exchange confirm the pattern. EIC dividends between 1756 and 1793 fluctuate between 6 and 12.5 per cent of nominal; pre-1755 rates

are lower but solid, generally 5-8 per cent. The EIC reaches £200 by 1740 and, in retrospect, climbs to nearly £275 after Plassey in 1757. That spike lies outside the 1745-1750 window. Within the window the trend is upward with war interruptions: War of Jenkins' Ear (1739-1748) and the First Carnatic War (1746-1748), including the capture of Madras in 1746, depress prices temporarily, but the Treaty of Aix-la-Chapelle in 1748 restores trade. Its charter extension in 1742 until 1783 for a £1 million loan signals fiscal backing unavailable to the VOC.

The VOC's 18 per cent average dividend on capital sounds superior until converted to market terms. At 500-600, cash dividends yield about 5-7 per cent on market price, with only 3.5 per cent at the 1720 peak, slightly below Dutch bonds. Global Financial Data's long series captures the trap: the VOC returns 6.93 per cent annually from 1602 to 1719, but prices decline from 1719 to 1794, with the company issuing debt, not new equity, until bankruptcy in 1794. After 1730 dividends exceed surplus in Europe; liquid capital falls by about $f20$ million, Asian capital is drawn down by $f4$ million, and short-term loans replenish European cash. The high dividend is thus partly a return of capital.

Total return therefore favours the EIC. A £1,000 nominal EIC purchase in January 1725 at £150 costs £1,500, appreciates to about £1,900-£2,000 by 1750, and pays roughly £1,500-£2,000 in cumulative dividends over 25 years. A comparable VOC purchase at 550 falls perhaps 20-25 per cent in price to the 400s by 1750, offsetting higher nominal dividends. Even if VOC dividends exceed EIC dividends by one percentage point annually, the capital loss dominates. The counter-argument - that a yield-seeking investor in 1725 would prefer the VOC's regular semi-annual distribution - fails once the Amsterdam price current shows the price falling despite the dividend.

Which stock and when to sell?

Profit maximisation dictates: buy the EIC, sell in 1750. The VOC's optimal sale was its 1720-1721 peak near 642; a January 1725 buyer has already missed it and should ideally sell immediately, but if constrained to hold to 1745-1750, the earliest date is least bad. For the EIC, delay dominates convenience. Selling in 1745 captures a pre-war high but forfeits five years of dividends and forces sale before the Carnatic War dip and restoration; selling in 1746-1748 means selling into Madras's capture; selling in 1749-1750 captures peace, restored shipping and the full dividend stream. The latest permissible date, 1750, maximises total return, while avoiding the next risk that a 1750 holder cannot yet know in full: the Seven Years' War (1756-1763), the fall of Calcutta in June 1756, and the Black Hole of Calcutta, followed by the Plassey conspiracy with Bengal Seths and Mir Jafar. To hold beyond 1750 to Plassey would be to bet on treachery and a 2,100-man force defeating perhaps 50,000 men - profitable in hindsight but not a trade recommendation.

Would ethics change the choice?

Ethically, the answer is abstention. Both companies' profits rest on charter monopoly backed by violence, slavery and coercive procurement. The VOC requires forced spice deliveries in the Moluccas, the legacy of the Banda genocide of 1621, slave labour from Batavia to the Cape and Ceylon, and corrupt private trading. Its advocate Pieter van Dam's internal history, commissioned by the Heren XVII in 1693, treats conquest, justice and 'all kinds of abuses' as integral to administration. The Batavia massacre of 1740 falls in the holding period. The EIC's Bengal procurement involves discriminatory advances and factory discipline; it transports enslaved people to Mauritius and St Helena; its executives engage in private 'adventurism' and insider buying; and Josiah Child's doctrine of a martial government foreshadows conquest. That the post-1757 EIC price jump is plunder - the nawab's treasury divided among victors, Clive's jagir, the later seizure of the diwani - confirms that prices capitalise expropriation, not commerce alone.

If forced to maximise profit per unit of documented violence within 1725-1750, the EIC remains the lesser evil because its profits derive primarily from scaling Bengal manufactures where the VOC depends on plantation slavery and spice coercion, and its most notorious violence - forced weaver regimes, grain hoarding and the 1770 famine after 1769, during which the share fell below £150 and the first corporate dividend was paid from debt - largely postdates the sale date. But this is a mitigation, not a justification. An investor who requires that dividends be ethically sourced should buy neither company, or buy and donate the yield, because both dividends are paid from a monopoly rent enforced by sovereign violence. Profit-maximising advice and ethical preference thus diverge: the market rewards the EIC, morality indicts both.

Conclusion

For a time-travelling letter, the instruction is short: buy the British EIC in January 1725, reinvest the semi-annual dividend, ignore VOC headline yields, and sell the EIC in 1750 after Aix-la-Chapelle. Do not chase Plassey - it is not on offer. And recognise that the profit is inseparable from empire.

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